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Circular to Licensed Corporations
Business continuity planning against serious communicable diseases

Drawing lessons from the recent Severe Acute Respiratory Syndrome (“SARS”) outbreak and in light of the warning from health officials that it could become a seasonal hazard, the Commission would like to remind licensed persons to take precautions against a reoccurrence of SARS or other serious communicable diseases.

The Commission is concerned of the potential disruption to intermediaries' operations resulting from their staff members' infection. As part of your business continuity plan, please ensure that the following measures are considered:

1. follow the Department of Health's guidance in maintaining a clean and healthy working environment;
2. encourage staff to maintain good personal hygiene;
3. review, revise or devise policies and procedures to ensure business continuity or prevent material disruption to your operation in the event of staff infection. These may include (but are not limited to):
 - establishing a crisis management structure for information sharing, corporate decision making and revising arrangements in accordance with changing circumstances;
 - arranging for a (reciprocal) back-up office;
 - setting up of different critical operational teams;
 - arranging for operational teams to work at compatible remote premises where feasible;
 - arranging with counterparts or exchanges on contingency closing out of positions, clearing and settlement matters;
 - encouraging clients to use telephone or online facilities in place of physical visits;
 - ensuring reliability of telephone recording system and sufficiency of back up discs/tapes etc;



- reviewing system capacity to cater for potential upsurge in transaction volume in the event of clients massively switching to using electronic channels;
 - ensuring adequate back up facilities, mobile computing/communication devices and network bandwidth;
 - establishing client notification procedures upon staff infection and advising clients on the relevant contingency measures;
 - checking that your critical suppliers and service providers are equally prepared;
 - arranging for rehearsal and testing of contingency plans, systems and equipment; and
4. last but not the least, notify your Licensing relationship manager promptly should any of your staff member become infected of any serious communicable disease, and keep the Commission apprised of any subsequent developments.

**Intermediaries and Investment Products Division
Securities and Futures Commission**

